

News

MOODY'S CORPORATION FIRST QUARTER 2022 EARNINGS CONFERENCE CALL

MONDAY, MAY 2, 2022

ROB FAUBER, MARK KAYE, SHIVANI KAK

Shivani Kak:

Thank you. Good morning, and thank you for joining us to discuss Moody's first quarter 2022 results and our revised outlook for full year 2022. I am Shivani Kak, Head of Investor Relations. This morning, Moody's released its results for the first quarter of 2022, as well as our revised outlook for full year 2022. The earnings press release and a presentation to accompany this teleconference are both available on our website at ir-dot-moodys-dot-com.

Rob Fauber, Moody's President and Chief Executive Officer, will lead this morning's conference call. Also making prepared remarks on the call this morning is Mark Kaye, Moody's Chief Financial Officer.

During this call, we will also be presenting non-GAAP, or adjusted, figures. Please refer to the tables at the end of our earnings press release filed this morning for a reconciliation between all adjusted measures referenced during this call and GAAP.

I call your attention to the "Safe Harbor" language, which can be found toward the end of our earnings release. Today's remarks may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. In accordance with the Act, I also direct your attention to the "Management's Discussion and Analysis" section and the risk factors discussed in our Annual Report on form 10-K for the year ended December 31, 2021 and in other SEC filings made by the Company, which are available on our website and on the SEC's website. These, together with the "Safe Harbor" statement, set forth important factors that could cause actual results to differ materially from those contained in any such forward-looking statements.

I would also like to point out that members of the media may be on the call this morning in a listen-only mode. I will now turn the call over to Rob Fauber.

Rob Fauber:

Thanks, Shivani. Good morning and thanks everybody for joining today's call.

I'll begin by providing a general update on the business, including our first quarter 2022 financial results. Following my commentary, Mark Kaye will provide further details on our first quarter 2022 performance, as well as our revised 2022 outlook. After our prepared remarks, we will be happy to take your questions.

Against a backdrop of geopolitical turbulence and volatile markets, Moody's first quarter revenue was \$1.5 billion dollars, down 5 percent from the prior year period.

With the decline in issuance in the first quarter and our expectation for continued subdued levels of opportunistic issuance for the balance of the year, we have updated our full-year 2022 guidance. We now project Moody's revenue to be approximately flat relative to the prior year. We have also lowered our adjusted diluted EPS guidance to be in the range of \$10.75 to \$11.25.

MA continued to be a source of strong and consistent growth while market disruptions impacted issuance activity, as investments to meet customer demand for our mission-critical suite of tools and solutions drove revenue growth of 23 percent. Recurring revenue is core to this growth, which is why we are introducing a new reporting metric, Annualized Recurring Revenue [or ARR]. We expect this new metric to provide greater transparency into the growth trajectory of MA's recurring revenue.

The temporary impact of market uncertainty on our financial performance does not change our expectations for the medium-term. Time and again, in periods of uncertainty like these, markets and organizations look to Moody's for expertise and insights, increasing the demand for our integrated risk assessment offerings, and so we remain confident in the fundamental drivers of our growth.

Moody's revenue was down just 5 percent from a year ago, reflecting the diversity and resilience of our business portfolio. While MIS revenue decreased 20 percent, MA revenue was up 23 percent, or 9 percent on an organic basis, driven by strong customer demand for its solutions.

Adjusted operating income fell 20 percent to \$734 million dollars. Adjusted diluted EPS was \$2.89, a decrease of 29 percent year-on-year.

Mark will provide additional details on our financials shortly.

Turning to MIS, the issuance factors we highlighted during our fourth quarter earnings call remain unchanged, as elevated inflation and the prospect of additional interest rate increases -- combined with the impact of the Ukraine conflict -- are contributing to uncertainty and volatility. These factors have adversely affected debt capital markets activity, including opportunistic refinancing and M&A transactions, particularly in the leveraged finance markets.

As we have said over the years, periods of market disruption need to be put into historical context, and I would argue this period is no different. This chart illustrates our rated issuance over the last decade – with the grey bars representing periods of market volatility.

It shows that activity typically rebounds after periods of market disruption and has grown steadily over time. Though there's uncertainty as to how long the current disruption will last, we believe the market will eventually reset amidst higher interest rates and will eventually resume issuance growth supported by economic expansion and substantial financing maturity walls.

The medium-term drivers of debt issuance and our business remain strong. As we've said in the past, issuance is a function of several macroeconomic factors, the most significant of which is economic expansion.

- Looking ahead, we do expect global GDP growth for the remainder of this year, albeit at a modest pace. The underpinnings of the economy remain sound, consumer and corporate balance sheets remain healthy, and U.S. unemployment remains at near-historical lows.
- While several rounds of interest rate increases are expected this year as the Fed addresses inflation, rates will remain low by historical standards. Volatility in the credit markets has been reflected in spread fluctuations, though spreads also remain well-below the ten-year average. Taken as a whole, the cost of borrowing remains historically low.
- In addition to these factors, there's a healthy stock of debt which needs to be refinanced, more than \$4 trillion dollars over the next four years. And

we expect the continued build-up in our first-time mandates will drive growth in our recurring revenue as demonstrated over the last two years.

Pivoting to Moody's Analytics: we are driving robust growth across the breadth of our products and solutions. In the first quarter, revenue increased by 23 percent, supported by organic revenue growth of 9 percent and a 96 percent customer retention rate.

We are now including Annualized Recurring Revenue, or ARR, in our reporting to give an indication of our revenue expectations for the future. Organic ARR was up 9 percent for the first quarter, demonstrating the strength of our recurring revenue across the business.

Mark will provide additional details on ARR shortly.

I'd like to take a moment to share a story that illustrates how offerings across our three reporting lines in MA come together to provide value for our customers.

As a result of our acquisition of Bureau van Dijk in 2017, we had a modest relationship with a large multinational insurance underwriter that was using our ORBIS database to support sales and marketing activities. Following the acquisition, we had a series of discussions with this and other customers about ways to address a wider range of their needs, which in this case included their process for underwriting trade credit insurance. We were able to package our ORBIS data, credit research and credit scorecards, combined with our AI-enabled spreading offering to provide a set of integrated solutions that transformed their workflow, helping them to eliminate 70 percent of their manual tasks in their trade credit underwriting process, and increasing their efficiency and enhancing their effectiveness.

This upsell resulted in an approximately 300 percent increase in annual customer revenue, and today we're having discussions with them about further expanding our relationship to serve additional use cases and solutions, including integrating ESG into their underwriting processes. It's just a great example of our ability to expand our customer relationships by bringing together the full capabilities across MA.

As you know, helping the market make sense of the risks and opportunities posed by ESG and Climate change is a priority for us. We're increasingly delivering solutions that help companies incorporate these critical factors into their decision-making, and that is an important reason for our acquisition of RMS last year. In

addition to building our business serving the insurance industry, RMS brings scaled, world-class weather and climate data and analytics which we are bringing to a much broader customer audience.

Inclusive of revenue from RMS' climate-related offerings, pro-forma combined revenue from our ESG and Climate solutions was approximately \$170 million dollars in 2021. We expect this revenue to grow in the low-double-digit percent range this year. We also expect our climate revenues, which today are predominantly from RMS, to accelerate as we continue to integrate its best-in-class models to meet our customers' growing needs.

Going forward, we will update you on this revenue number as it provides a good view of our scale and impact in this area.

Our growth is supported by a number of key innovations and award-winning product launches. Last month, we launched ESG 360, a powerful platform that delivers decision-relevant ESG data and insights to portfolio managers. We are also launching new Climate Change Models in the U.S. and Asia that will help address the growing need for climate change analytics, including supporting increasing regulatory demands.

We are proud to have received recognition from customers for our ESG and climate-related products and services, including being named ESG Opinion Provider of the Year by the International Financing Review. I am excited about the opportunity ahead as we continue to play a meaningful role in helping companies decode risk and unlock opportunity.

Speaking of decoding risk, our customers turn to us even more in times of stress and uncertainty – as we saw during the throes of the pandemic. As you can see on this slide, the relevance of our offerings has probably never been higher, with significant readership of our research and usage of our solutions. Our research reports have been read over 200,000 times, while KYC screenings are up 70% year-over-year, as our customers have a critical need to better understand and monitor their own customers and suppliers amidst geopolitical conflict and sanctions.

And with that, I will now turn the call over to Mark to provide further details on Moody's first quarter results, as well as an update to our outlook for 2022.

Mark Kaye:

Thank you, Rob.

In the first quarter, MIS revenue declined 20 percent from last year's record level, as geopolitical concerns, rising yields, and elevated economic uncertainty contributed to a 25 percent decrease in rated issuance.

Corporate finance, financial institutions and public project and infrastructure revenue declined 31 percent, 19 percent, and 14 percent, respectively, with many issuers remaining on the sidelines due to unfavorable market conditions and existing levels of balance sheet liquidity.

Structured finance revenue increased 24 percent, supported by 10 percent growth in issuance primarily from commercial- and residential- mortgage-backed securities, offset by a decline in CLO refinancing activity.

MIS's adjusted operating margin was 58.6 percent. Revenue was adversely impacted by the noted absence of opportunistic issuance in the quarter, while operating expenses, excluding those related to the Russia-Ukraine conflict, remained relatively flat.

Moving to MA, first quarter revenue grew 23 percent, delivering the fifth consecutive quarter of double-digit growth. Excluding the impact of recent acquisitions, revenue and recurring revenue were up 9 percent and 11 percent, respectively.

In Decision Solutions, revenue increased 48 percent, or 14 percent on an organic basis. This was driven by robust demand for KYC, Banking, as well as Insurance & Asset Management solutions.

Research & Insights revenue rose 7 percent, reflecting strong demand for our credit research, analytics and models, underpinned by a 97 percent customer retention rate.

For Data & Information, revenue grew 6 percent, driven by new sales of company data and ratings feeds.

MA's adjusted operating margin expanded by approximately 350 basis points from incremental operating leverage net of ongoing organic investments. This was offset by approximately 430 basis points of margin contraction due to acquisitions completed within the last 12 months.

Over the past few years, we have successfully transitioned the MA business to a predominantly subscription-based model with strong recurring revenue, which now accounts for 94 percent of total MA revenue.

This quarter, we are pleased to introduce a new forward-looking performance metric for our MA business. This new metric, Annualized Recurring Revenue, or ARR, is the annualized run-rate of recurring revenue for all active contracts at a point in time. Renewable contracts include subscriptions, term licenses, and software maintenance. The ARR metric provides insight into the trajectory of MA's recurring revenue, with visibility specifically into the growth of the subscription business from both our acquisition of new customers and the expansion of existing relationships.

As of March 31st, 2022, MA's ARR of \$2.6 billion dollars reflected 25 percent growth from the prior-year period, or 9 percent on an organic basis.

In addition, we are guiding to low-double-digit organic ARR growth for year-end 2022, reflecting our expectation for accelerated renewable sales through the remainder of the year.

Turning now to our revised guidance:

Moody's updated outlook for full year 2022, as of May 2nd, reflects assumptions about numerous factors. These include, but are not limited to, the effects of interest rates, inflation, foreign currency exchange rates, capital markets' liquidity, and activity in different sectors of the debt markets.

The outlook also reflects assumptions about general economic conditions, global GDP growth, the scale and duration of the crisis in Ukraine and the impact of COVID-19, as well as the Company's own operations and personnel.

Our updated full year 2022 guidance incorporates the following specific macroeconomic assumptions: 2022 U.S. and Euro area GDP to expand by approximately 3.5 to 4.5 percent and 2.5 to 3.5 percent, respectively, and global benchmark rates to increase from historic lows, with U.S. high yield spreads moving slightly above the historical average of approximately 500 basis points and inflation rates to remain elevated, and above, central bank targets in many countries.

By year-end, the U.S. unemployment rate is expected to remain low at approximately 3.5 percent and the global high yield default rate will initially

decline before gradually rising to approximately 2.7 percent. Our guidance also assumes foreign currency translation and for the remainder of 2022 reflects exchange rates for the British pound of \$1.32 and \$1.11 for the euro.

We are updating our full-year 2022 guidance across several metrics to reflect both first quarter results and our revised expectation for the remainder of the year.

We now forecast Moody's revenue to remain approximately flat to the prior year and for operating expenses to increase in the high-single-digit percent range, down from our prior guidance as we prudently manage and prioritize investment activity through the cycle. Consequently, we now project Moody's adjusted operating margin to be approximately 47 percent and have lowered the diluted and adjusted diluted EPS guidance ranges to \$9.85 to \$10.35, and \$10.75 to \$11.25, respectively.

We decreased our free cash flow forecast to be between \$1.8 and \$2.0 billion dollars, and maintain our expectation for full-year share repurchases of at least \$1.5 billion dollars, subject to available cash, market conditions, M&A opportunities and other ongoing capital allocation decisions.

Please refer to Table 13 of our earnings release for a full list of our guidance.

Turning now to our issuance outlook, which we have updated in light of market disruptions in the first quarter and the expectation that opportunistic activity will likely remain constrained heading into the second quarter of the year.

We forecast global rated issuance to decline in the mid-teens percent range and investment grade activity to decrease by approximately 10 percent.

Leveraged finance issuance has been acutely impacted by market uncertainty, with over 20 days of no high yield activity during the quarter. We now project full-year 2022 high yield and leverage loan issuance to decline by approximately 40 percent and 30 percent, respectively.

Similarly, we forecast a 10 percent decrease in financial institutions activity and a 5 percent decline in public, project and infrastructure finance activity.

In structured finance, we expect wider spreads and a weaker future leveraged loan supply to impact the refinancing and creation of new CLOs for the balance of the year. We are therefore revising our outlook for structured finance issuance to decline by approximately 10 percent.

And finally, we are reducing our full year guidance for new mandates to a range of 850 to 950, despite a strong mandate result of almost 240 in the first quarter.

Due to our revised rated issuance outlook, we now forecast MIS revenue to decrease in the low-double-digit percent range. We have proportionately lowered MIS's adjusted operating margin guidance to approximately 59 percent. This outlook remains above the pre-pandemic levels of 2018 and 2019, reflecting prudent spending on strategic investments and employee recognition, carefully balanced with ongoing cost efficiency initiatives.

For MA, we are reaffirming our guidance for high-teens revenue growth supported by tailwinds from recent acquisitions, strong customer retention rates and ARR outlook, as well as robust demand for our subscription-based products as we successfully execute on our integrated risk assessment strategy.

We are maintaining MA's adjusted operating margin guidance of approximately 29 percent as we organically invest in the business to further accelerate top-line growth.

I would like to provide additional insight into our disciplined approach to expense allocation and management, which we believe is critically important to ensure long-term sustainable growth as we move through the current short-term cyclical volatility impacting the MIS business.

In the first quarter, operating expenses rose 16 percent over the prior-year period. Approximately 13 percentage points of this growth were attributable to operational and integration-related costs associated with acquisitions completed in the prior 12 months.

Operating growth, including organic investments and annual compensation increases, net of ongoing efficiency initiatives, contributed approximately 6 percentage points. Lower incentive compensation accruals and a strengthening U.S. dollar offset expense growth by approximately 1 percent and 2 percentage points, respectively.

For the full year, we expect expense growth to be more than \$100 million dollars lower than our previous forecast, an increase now in the high-single-digit percent range. This includes approximately 9 percentage points of growth attributable to acquisitions completed within the last 12 months.

We remain committed to invest an incremental \$50 million and \$150 million dollars in 2022 to attract and retain world class talent, as well as to enhance our product capabilities and expand distribution to capture these new opportunities, respectively. We anticipate that these investments will be partially offset through our ongoing cost efficiency programs and lower incentive compensation accruals.

Lastly, we strongly believe that the market volatility in the first half of the year is cyclical in nature and that the business fundamentals for both MIS and MA remain firmly intact. Therefore, it is especially important that we prudently manage our expenses and continue investing through the cycle in order to realize our medium-term growth prospects.

Before turning the call back over to Rob, I would like to highlight a few key takeaways.

First, despite the challenging market environment, we delivered over \$1.5 billion dollars in revenue and an adjusted diluted EPS result of \$2.89.

Second, while short-term volatility and market cyclicalities are affecting issuance levels, our business fundamentals remain strong.

Third, MA's robust recurring revenue growth and high customer retention rates reflect the strong demand for our integrated risk assessment solutions and provide ballast to Moody's overall results.

Fourth, our new ARR metric provides further insight into our momentum toward achieving our medium-term targets.

And finally, we remain focused on investing through the cycle to build market-leading products and capabilities in key strategic growth areas, and balancing disciplined expense management with the return of stockholder capital.

And with that, let me turn the call back over to Rob.

Rob Fauber:

Thank you, Mark. I want to close by recognizing the efforts of our people. Their continued dedication and hard work remain key to driving growth and resilience and delivering on our strategy as an integrated, global risk assessment firm. And that's an additional reason, despite the turbulent times in the issuance markets, I remain confident and optimistic about Moody's growth fundamentals. Our mission is even more critical as our customers rely on us to provide trusted

insights and standards that help them make decisions with confidence in this environment.

This concludes our prepared remarks. Mark and I would be pleased to take your questions.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this release are made as of the date hereof, and Moody's disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, Moody's is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to the global impact of the crisis in Ukraine on volatility in the U.S. and world financial markets, on general economic conditions and GDP in the U.S. and worldwide, on global relations, and its potential for further worldwide credit market disruptions and economic slowdowns; the impact of MIS's withdrawal of its credit ratings on Russian entities and of Moody's suspension of commercial operations in Russia; the impact of COVID-19 on world financial markets, on general economic conditions and on Moody's own operations and personnel; future worldwide credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates, inflation and other volatility in the financial markets and uncertainty as companies transition away from LIBOR; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy, including those related to tariffs, tax agreements and trade barriers; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations; the potential for increased

competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which Moody's may be subject from time to time; provisions in U.S. legislation modifying the pleading standards and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; uncertainty regarding the future relationship between the U.S. and China; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of Moody's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if Moody's fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which Moody's operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions, such as our acquisition of RMS, or other business combinations and the ability of Moody's to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of Moody's annual report on Form 10-K for the year ended December 31, 2021, and in other filings made by Moody's from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on Moody's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for Moody's to predict new factors, nor can Moody's assess the potential effect of any new factors on it.